

not pursue an asset monetisation strategy in isolation. We have a well-defined road map for value creation and value optimisation. It has five elements: corporate performance, capex policy, communication, consistent dividend policy and calibrated disinvestment. As part of this strategy, we optimise between dividends, regular incomes, further investment for the growth of the economy, and maximising value for small investors.

▶▶▶

Will the direct tax code make the old tax regime irrelevant?

TKP: So far as the present income tax law is concerned, we have got the two regimes as options. But 75% of the people have already shifted to the new regime and we hope that the rest will also gradually shift. The Bill that we are trying to bring in is for a much larger purpose. We want to simplify the law, make the language direct, make interpretations redundant, have more clarity of purpose and language and less litigation.

▶▶▶

With the measures announced in the Budget, what kind of uptick do you expect in GDP growth?

TKP: I would say that despite the global headwinds, India remains one of the fastest growing large economies. But we are not happy with that, and we want to accelerate it. We need to fire on all engines.

@Szarabi



“6.4% IS A DECENT GROWTH RATE”

Ajay Seth, Secretary, Economic Affairs, and M. Nagaraju, Secretary, DFS, on the global background of the Budget and implications for the financial sector

BY SIDDHARTH ZARABI



AJAY SETH, Secretary of the Department of Economic Affairs, and **M. Nagaraju,** Secretary of the Department of Financial Services, on global headwinds and the financial

sector. Edited excerpts:

▶▶▶

There has been no rating upgrade again despite the fiscal consolidation road map. Are rating agencies and

other global analysts failing to read the intent and the actual fine print of the Budget?

Ajay Seth: Rating agencies do what they are supposed to do, and it is our effort to show performance and our commitment for consolidation as well as meeting our development needs and trying to convince them. Over the past 18 months, several of them have upgraded their outlook to positive. And I am sure that at some point they will be ready for an upgrade as well.

▶▶▶

What are the likely growth numbers?

AS: We were doing pretty well. There has been a moderation, even though we are growing at 6.4-6.5% in a global economy that is not doing too well. Global growth rates are moderating. As a result, the fourth engine, which is export, is not doing well globally. In such a situation, 6.4% is a decent growth rate, though our needs and our potential is much larger. So what this Budget tries to do is to address the domestic factors and create the conditions for those factors to be the primary driver of our economy.

▶▶▶

How would you say our banks and associated entities are placed to support a growth surge?

M. Nagaraju: With the tax relief announced by the Finance Minister I hope that more deposits will flow to banks and they will be able to lend more to industry.